

Phase I -- Local cycle-factor predictability across the G10

Country	c(1)	t	c-bar	t	R2	Wald p	N
Belgium	-0.42	(-3.42)	0.56	(4.61)	0.301	0.000	353
Germany	-0.34	(-3.27)	0.47	(4.82)	0.256	0.000	353
France	-0.39	(-4.02)	0.51	(4.26)	0.126	0.000	353
Italy	-0.26	(-1.46)	0.59	(3.19)	0.287	0.000	353
Netherlands	-0.36	(-3.18)	0.56	(5.46)	0.344	0.000	353
Switzerland	-0.11	(-1.17)	0.26	(1.77)	0.073	0.201	353
UK	-0.41	(-4.36)	0.54	(4.54)	0.262	0.000	353
Sweden	-0.26	(-1.91)	0.43	(3.33)	0.238	0.001	353
Canada	-0.22	(-2.37)	0.41	(4.36)	0.320	0.000	353
Japan	-0.33	(-1.70)	0.50	(2.50)	0.260	0.005	412
US	-0.40	(-3.21)	0.79	(4.30)	0.326	0.000	412
G10 panel	-0.33	(-10.70)	0.51	(15.46)	0.256	0.000	4001

LHS: duration-standardized, maturity-averaged one-year excess return $rx_bar_{\{i,t+12\}}$. Each row is $rx_bar \sim c^{(1)} + c\text{-bar}$ by country; the local cycle factor CF is the fitted value of this regression. Newey-West HAC t-stats (12m overlap) in (.); Wald p is the joint test that both cycle slopes are zero. 'G10 panel' adds country fixed effects. In-sample R^2 . Sample as in Table 4.1.